

# Executive Summary: Apartment feature that influences price the most

## Objective

This project aimed to uncover which apartment feature drives prices up: bedrooms, bathrooms or parking spaces, adjusting for location and apartment size. The analysis concluded that bathrooms influence price more than the other two features.

## Key Findings

- There is a very strong positive correlation (**0.7**) between the number of bedrooms and monthly rental prices; this means that price tends to increase with the number of bedrooms. Further analyses indicated that each additional bedroom drives apartment prices up by **R1 351.93**. Additionally, we evaluated an **R-squared** score of **49%**, which tells us that almost half of the variability in monthly rental prices can be explained by the number of bedrooms.
- There is a very strong positive correlation (**0.83**) between the number of bathrooms and monthly rental prices; this means that price tends to increase with the number of bathrooms. Further analyses indicated that each additional bathroom drives apartment prices up by **R2 786.51**. Additionally, we evaluated an **R-squared** score of **69%**, which tells us that more than half of the variability in monthly rental prices can be explained by the number of bathrooms.
- There is a moderately strong positive correlation (**0.44**) between the number of parking spaces and monthly rental prices; this means that price tends to increase with the number of parking spaces but not at a

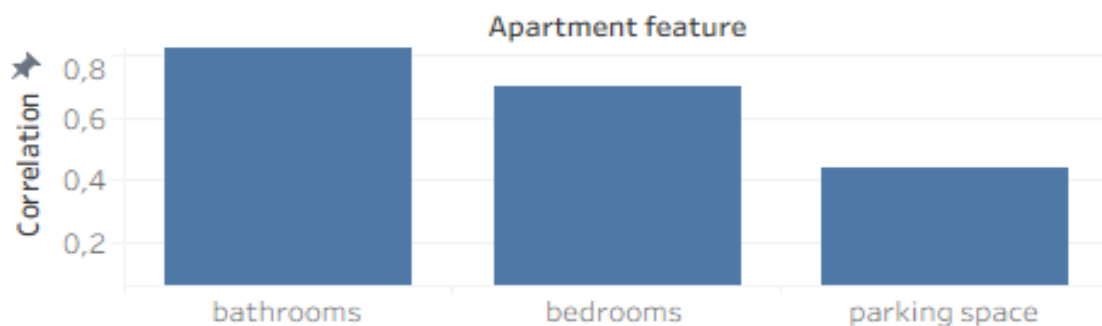
consistent pace. Further analyses indicated that each additional parking space drives apartment prices up by only **R662.98**.

Additionally, we evaluated an **R-squared** score of **19%**, which tells us that less than one fifth of the variability in monthly rental prices can be explained by the number of parking spaces.

- The bathrooms outperform bedrooms and parking spaces in the three metrics. This indicates that bathrooms have the strongest influence on price out of all three.

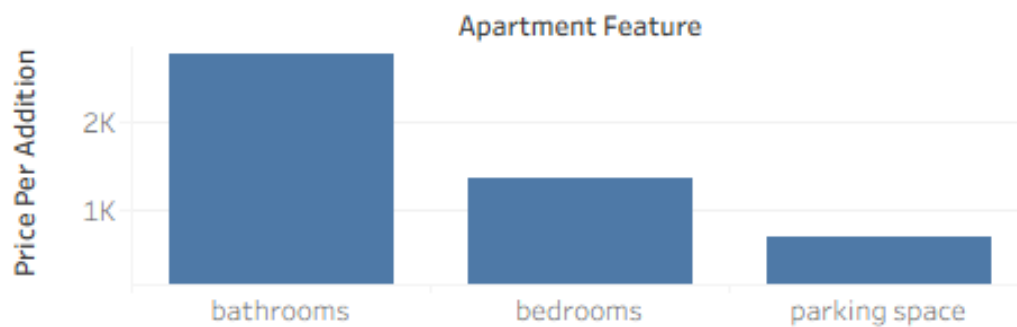
## Visual Insights

Relationship correlation of between each feature and monthly rental apartment price



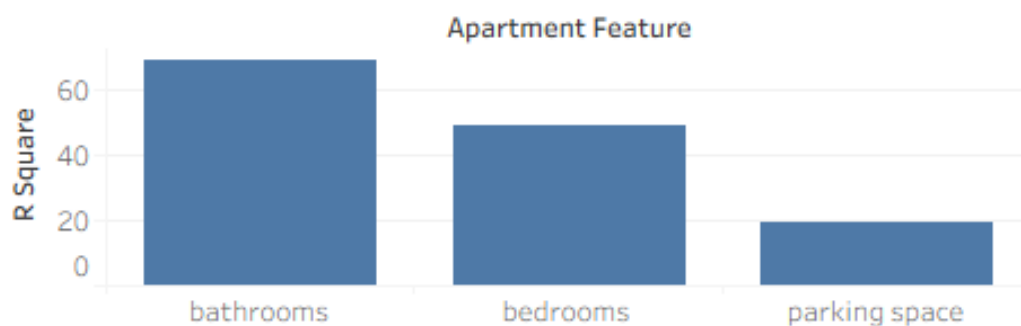
*The number of bathrooms have shown the strongest relationship with monthly rental prices, which is 19% stronger than the correlation between number of bedrooms and price.*

## How much each additional feature drives monthly rental apartment prices



*Each additional bathroom drives up monthly apartment prices by R2 786.51, that is a R1434.58 price difference from bedrooms.*

## What percentage of each feature accounts for the variation in monthly rental apartment prices



*Bathrooms account for 69% of the difference in monthly apartment prices.*

## **Conclusion**

As we have discovered in this report, out of bedrooms, bathrooms and parking spaces, the number of bathrooms stands out as the feature with the most influence on apartment prices.